Market Survey

GREEN MOBILITY To Drive DEMAND For ELECTRONICS

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The growth of the Indian electric vehicles market is likely to drive the demand for various electronic components and products

Continuous regulatory pressures to curtail the environmental ill-effects associated with internal combustion engines, coupled with availability of advanced technologies for electric power trains and storage systems (batteries and the like) have enhanced the demand for electric vehicles (EVs).

Large-scale adoption of EVs is seen as vital in cutting down carbon emissions that drive climate change, and in dealing with urban air pollution—the latter being directly linked to many premature deaths every year. Globally, sales of EVs have witnesses phenomenal growth—287,000 units in the quarter that ended in September 2017, which is 63 per cent higher than the same quarter a year ago, and up by 23 per cent from the second quarter—according to a report by Bloomberg New Energy Finance.

According to ReportBuyer, the global EV market is growing at a compound annual growth rate (CAGR) of 21.27 per cent for the forecast period of 2017-2026. It is driven by growing concerns about the emissions of CO_2 and other greenhouse gases, availability of low-cost lithium-ion batteries and various government initiatives that are encouraging the use of EVs.

International Energy Agency (IEA) forecasts that the number of EVs on the road around the world will hit 125 million by 2030. IEA also mentions that the world's fleet of EVs grew 54 per cent to about 3.1 million in 2017.

The Indian scenario

The Indian automobile industry is one of the largest and fastest growing auto markets (Fig. 2) in the world. It accounts for 7.1 per cent of the country's gross domestic product (GDP). The market is estimated to grow at around 10 to 15 per cent per annum, to reach US$ 16.5 billion by 2021 from around US$ 7 billion in 2016. The Indian auto sector also accounts for a significant share of the country's manufacturing facilities, which is expected to increase to 25 per cent by 2022, from 15 per cent in 2017.

A majority of India's auto industry is driven by vehicles running on fossil fuels. However, with increasing environmental concerns, the country has taken baby steps towards transforming its auto market in to a more sustainable model—one running on renewable fuels.

According to a study by ASSOCHAM, conducted along with global advisory services firm Ernst and Young, the Indian EV industry accounts for less than one per cent of total vehicle sales, and is dominated by two-wheelers (95 per cent).

India's EV industry is at a nascent stage in comparison with other international markets, including the US, China and Europe. China leads, accounting for nearly 50 per cent share of the global EV market in 2016. Currently, India's share of the global EV market is an insignificant 0.1 per cent.

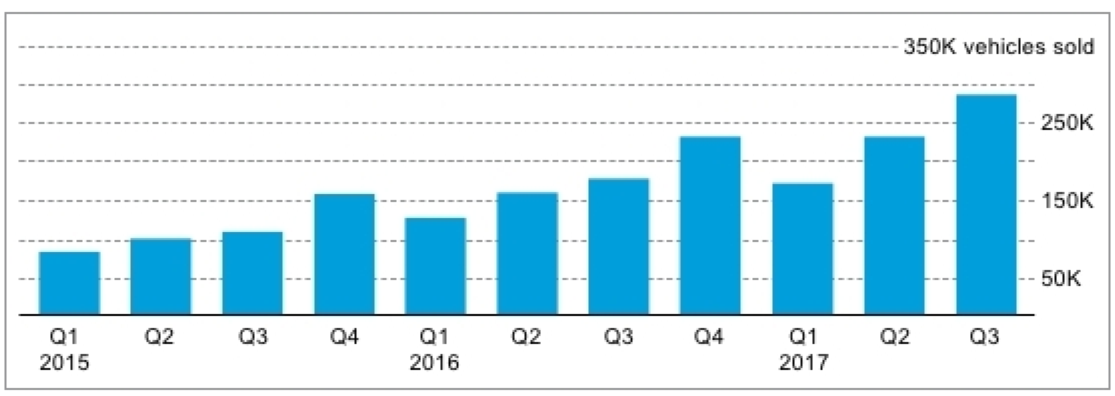

Fig. 1: Global electric vehicle sales, year on year (Source: Bloomberg)

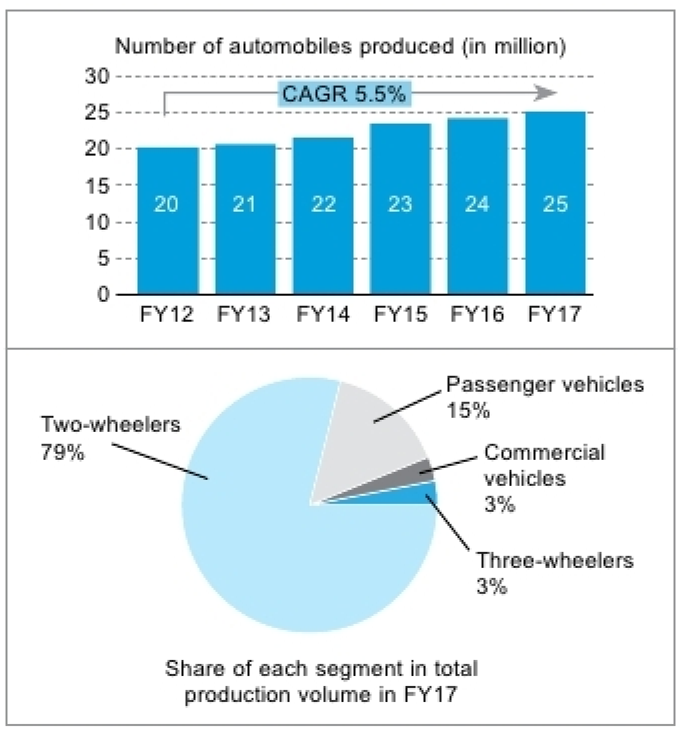

Fig. 2: Indian automotive market at a glance